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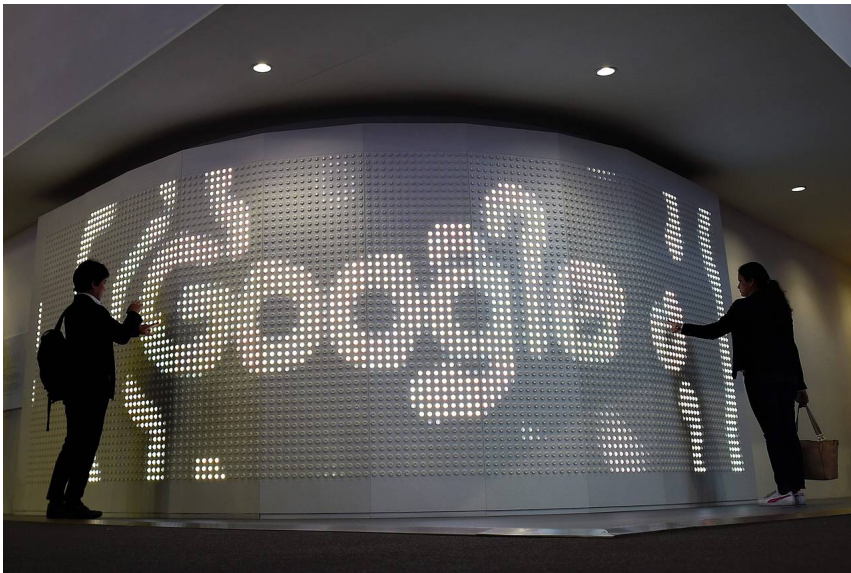
TECH

Google Parent Alphabet's Revenue Continues to March Higher

Shares of the tech giant climb after hours

By Rolfe Winkler

Updated April 27, 2017 at 4:24 pm ET



Two people visit the Google stand on the second day of the Mobile World Congress in Barcelona this February.

AGENCE FRANCE-PRESSE/GETTY IMAGES

Google parent Alphabet Inc. GOOG **1.65% ▲** on Thursday posted a sharp increase in first-quarter revenue, continuing a trend of rapid growth seemingly unscathed by boycotts from some of its major advertisers.

Alphabet said net revenue rose 22% to \$24.75 billion from a year earlier, beating Wall Street estimates of \$24.22 billion, according to Thomson Reuters. First-quarter profit rose 29% to \$5.43 billion, or \$7.73 a share, from \$4.21 billion in the same quarter last

year. Analysts had expected \$7.39 per share.

Alphabet's shares traded 4.4% higher after the close of regular Thursday trading.

The company has benefited from rising internet usage across the globe thanks to the smartphone revolution. That is seen most notably in the consistently high growth of paid clicks on Google's ads, which increased 44% in the first quarter compared with the year-ago period.

A portion of that growth is offset by the falling average price each click, which dropped 19% in the first quarter, owing to the lower price Google is able to charge for ads on smartphones and its YouTube video site.

Analysts had expected Google's advertising revenue to have taken a hit in the first quarter because major advertisers, including Coca-Cola Co. and Wal-Mart Stores Inc., pulled their spending on all Google advertising except targeted search ads after they were spliced in with offensive content. YouTube responded by giving them more controls over where not to place their ads. Growth in YouTube advertising has propelled Alphabet's earnings in recent quarters.

Google has come to dominate the online advertising market along with Facebook Inc. The digital giants gobbled up an estimated 77% of the gross advertising spend in 2016, up from 72% the year before, said Pivotal Research analyst Brian Wieser analyzing data published by the Interactive Advertising Bureau.

Google and Facebook captured 99% of the online ad industry's revenue growth in 2016, estimated Mr. Wieser. On balance the rest of the industry was flat.

Alphabet is trying to diversify its business beyond online advertising, and its "cloud" business that competes with Amazon Inc.'s web services unit is a key focus. Google executives are so optimistic about the tech giant's cloud business, selling computing power to companies over the internet, they say it can one day eclipse Google's massive advertising business. Google doesn't break out its cloud revenues, but sales in the

“other revenues” segment it falls into grew 49% to \$3.1 billion in the first quarter.

Alphabet’s “Other Bets” revenue rose to \$244 million from \$165 million, while its operating loss grew to \$855 million from \$774 million. Most of the Other Bets revenue came from Nest, high-speed internet provider Google Fiber and Verily, its life-sciences startup. The segment also includes its Waymo self-driving car unit and its “X” research lab.

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Rolfe Winkler is a technology reporter covering Apple for The Wall Street Journal in San Francisco. He previously covered digital health companies for the Journal, leading investigations into internet companies that exploited social media and e-commerce strategies to peddle dangerous drugs. This work sparked government probes into...

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